Beyond the Balance Sheet: Tata Motors ETR and Deferred Tax

Executive summary | Consolidated Tata Motors Group | FY2022-23 to FY2024-25 | ₹ crore

Research question. How did tax-reconciliation items and deferred tax recognition influence the Group's reported income tax expense and effective tax rate (ETR) over three years? **Objective:** build a traceable, formula-driven analysis from official reports, explain the ETR swings, separate accounting tax from cash payments, and document every discrepancy.

ETR FY2022-23	ETR FY2023-24 (net tax credit)	ETR FY2024-25	FY25 ETR (continuing only)
20.7%	**−13.8%**	**27.4%**	**31.1%**

Total basis includes FY25 discontinued operations (same scope as the tax reconciliation). Source: workbook ETR_Analysis; reports [S2, S4, S5, S8].

Key findings

- **Deferred tax drove the volatility.** Current tax: ₹3,258 → ₹4,937 → ₹5,023 crore. Deferred tax: −₹2,554 → −₹8,789 → +₹5,479 crore (negative = credit).
- **FY24's credit came from recognising tax assets on past losses.** Tax at entity rates was ₹7,587 crore; three reconciliation lines (deferred tax assets recognised, previously unrecognised losses used, net of assets not recognised) reduced it by ₹13,142 crore, a total calculated for this project rather than a company-reported metric. JLR recognised ₹7,093.77 crore (£659 million) on unused losses [S5, Note 22].
- **FY25 reported ETR.** FY25's reported ETR was 27.4% on the total basis used in the tax reconciliation. However, note-level reconciliation details require further verification before drawing conclusions about the underlying tax rate.
- **Accounting is not cash.** FY24 booked a ₹3,852 crore credit yet paid ₹4,516 crore income tax (net); FY25 paid ₹3,991 crore against ₹10,606 crore expense [S8].
- **Discrepancies were resolved or logged, not hidden.** The FY23 PBT figures differ by ₹336.38 crore between the two reports (₹3,057.55 vs ₹3,393.93 crore). This matches a separately reported share-of-profit figure, but the reason for the presentation difference remains unconfirmed. FY23 ETR has three versions (23.0%, 20.7%, 20.0%); the 20.0% is not reproducible.

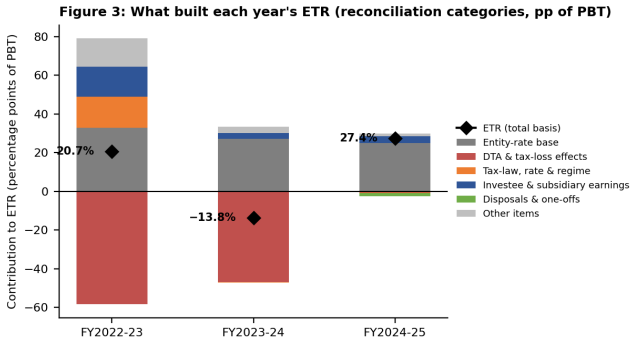


Figure: what built each year's ETR, by reconciliation category (percentage points of PBT). Source: workbook ETR_Analysis §5.

Practical interpretation

The reported ETR measures *accounting recognition*, not cash cost. A single-year ETR is a poor guide here; read it with the reconciliation, deferred tax disclosures and cash tax paid. FY25's ETR provides a useful reference point, but it should not be treated as a definitive measure of sustainable tax cost. Interpreting it requires the tax reconciliation, deferred tax disclosures and cash-tax information. Deferred tax assets rely on profit forecasts, so recoverability is the key risk to watch (auditors flagged it as a Key Audit Matter in FY24 [S5]).

Limitations
Public disclosures only; no avoidance or non-compliance is alleged or implied. FY25 note-level figures (reconciliation lines, deferred tax balances) could not be checked against the FY25 annual report and are user-supplied; FY25 totals were verified in the audited Q4 FY25 results [S8]. The FY23 ETR of 20.0% (FY24 MD&A) cannot be reproduced; the reason for the FY23 PBT presentation difference is unconfirmed. Tax Transparency Report contributions are cash-basis and not corporate income tax, so they are excluded from the ETR.